THE BIG NUMBER

SAFEGUARDING RETIREMENT

To have a stress-free retirement, it is not enough to simply save and grow your money; you must also plan how you will withdraw funds from those savings

You have spent your lifetime working hard, diligently saving and investing money to secure your financial future. Retirement can be an exciting next chapter in your life, offering new beginnings and opportunities. Thanks to employment-linked retirement savings, such as the provident fund (PF) and, in recent years, the National Pension Scheme (NPS), there is greater awareness of the need to accumulate for retirement. However, that is just the first part; what you need is a plan that lets you use the hard-earned sum to see you through your senior years without compromising on your lifestyle and health.

Retirement brings with it many uncertainties—from how long you will live to how the cost of living may evolve over the next two or three decades. What makes it even more daunting is that once the income stream from a job or business stops, your savings become your primary financial cushion. Going by the alarming figures often cited these days, it can be unnerving to imagine running short of money at a stage in life when you may no longer be employable. This phase is not just about distributing wealth wisely, but also about preserving it over the long term.

THE RISKS TO YOUR RETIREMENT

Increasing longevity, advances in healthcare, and the changing nature of financial markets and the broader economy have created a new anxiety among the elderly—the risk of outliving their retirement savings. While these external factors are beyond anyone's control, what can be managed is a financial strategy designed to account for such risks.

↘ **High inflation:** It is par for the course, and any sound retirement plan factors it in. However, just as expected returns can be unpredictable, inflation, too, can derail carefully laid plans if it remains significantly above estimates for a few years. Another way to understand the impact of inflation is to track the rise in monthly withdrawals from your retirement corpus, as this directly affects how long your savings will last through retirement (see *How Long Does...*). Inflation should never be taken lightly, especially when estimating post-retirement withdrawals.

↘ **Market volatility:** As a seasoned investor, you would know that markets inevitably go through cycles of ups and downs. However, sharp volatility or a prolonged market downturn can be especially unsettling when you are approaching or are already in retirement. Such phases may force you to question whether you have saved enough and can complicate income planning because of sequence-of-returns risk. That is, the risk of running out of money if your portfolio is unable to sustain regular withdrawals after suffering market downturns in the early years of retirement.

Remember, you may have spent decades building a sizeable retirement corpus, but its real test begins once you retire and start drawing from it. Ultimately, it is the returns generated by that corpus that will determine how comfortably it supports you through your retirement years. ■

—Narayan Krishnamurthy



HOW LONG DOES A ₹1 CRORE CORPUS LAST?

MONTHLY WITHDRAWAL	₹60,000	₹80,000	₹1 LAKH
Inflation	5%	5%	5%
Return	7%	7%	7%
Corpus lasts (years)	16	11.5	9

MONTHLY WITHDRAWAL	₹75,000	₹75,000	₹75,000
Inflation	5%	5.5%	5.5%
Return	7%	7%	6%
Corpus lasts (years)	12.4	12	11.4